



THE UNIVERSITY OF
MELBOURNE

ACCT90002

Financial Statement

Analysis

Week 1: Introduction





Lecture outline

Course objectives

Course requirements

FSA framework

Teaching team



Dr. Qingbo Yuan
Coordinator, Lecture &
Seminar leader



Professor Gary Biddle
Seminar leader



Ms Jane Hronsky
Seminar leader



Dr. James Kavourakis
Seminar leader



Staff information

- Coordinator, Lecturer & Seminar leader

Name: **Qingbo Yuan**

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[Consultation: 2-2:30pm Tuesday via zoom starting from Week 2](#)

Office: Level 7, 'The Spot'

Professor Gary Biddle (Seminar leader)

Email: g.biddle@unimelb.edu.au

[Consultation: 5:00-5:30pm Wednesday in office](#)

Office: Level 8, 'The Spot'

Ms Jane Hronsky (Seminar leader)

Email: janejfh@unimelb.edu.au

[Consultation: 11-11:30am Wednesday via Zoom and in office starting from Week 2](#)

Office: Level 8, 'The Spot'

Dr. James Kavourakis

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Course Objectives

- Development of students' *general* knowledge of the **theory and practice** of financial statement analysis
 - Placing it in its broad business, financial, and accounting context
- Development of students' *general* understanding of the environment in which financial reporting choices are made

- Development of a **critical thinking** approach to the analysis of financial statement information

- Development of ability to estimate the **fundamental value** of a company using financial statement and other supporting information

- Much of this course is therefore devoted to providing you with some of the general skills enabling you to gain an insight into

managers' incentives

hence,

becoming more informed readers of any set of financial statements.

Financial statement analysis

○ During your introductory and intermediate financial accounting courses, you learned the basics of accounting.

○ **Our focus:** real-world financial statements, taking into account:

- firm characteristics,
- management incentives, and
- outsiders' demand for certain information.

Prerequisite of FSA

Bookkeeping?

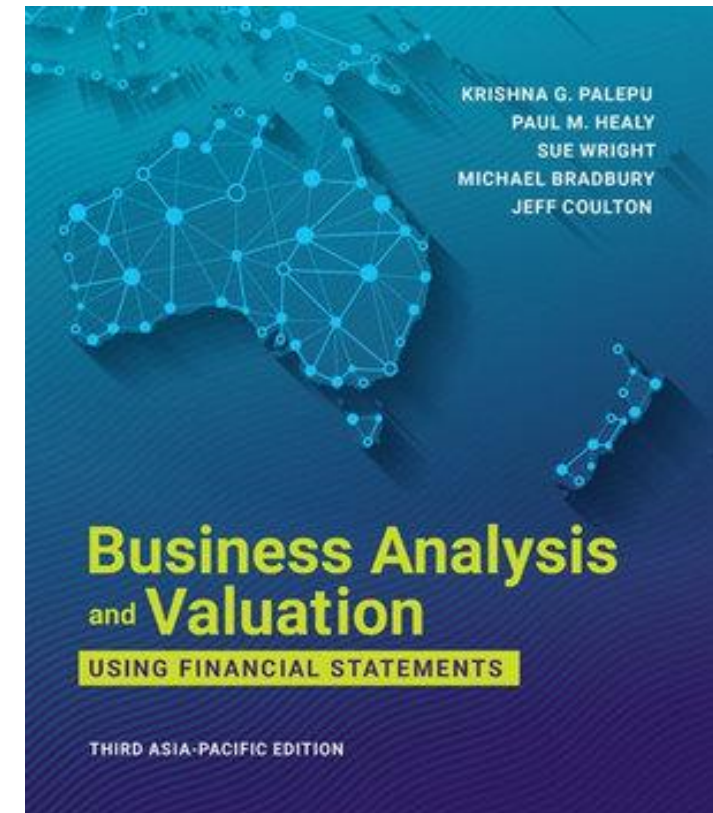
- Yes & No
- You MUST have a good understanding of basic accounting knowledge (including bookkeeping)

Financial reporting?

- Yes & No
- You should know how to 'do accounting'
- Course is intensive and requires **12 weeks** of high commitment

Recommended textbook

- Palepu, K., P. Healy, S. Wright, M. Bradbury, and J. Coulton. 2021 [Third Asia-Pacific Edition]. Business Analysis and Valuation: Using Financial Statements. Cengage Learning. ISBN: 9780170425186
- Other readings: announced on LMS





Lecture and seminar time

Group_code	Day	Start_time	End_time	Location	Teaching Staff
Lecture	Tue	12:00	13:30	Medical Building PAR-181-L2-C216-Sunderland Theatre (325)	Qingbo
Seminar	Wed	9:00	10:30	The Spot PAR-110-L4-4014-Lectorial Learning Space (79)	Jane
Seminar	Wed	10:30	12:00	The Spot PAR-110-L4-4014-Lectorial Learning Space (79)	Gary
Seminar	Wed	15:00	16:30	The Spot PAR-110-L4-4014-Lectorial Learning Space (79)	Gary
Seminar	Thu	12:30	2:00	The Spot PAR-110-L4-4014-Lectorial Learning Space (79)	Qingbo
Seminar	Fri	9:00	10:30	The Spot PAR-110-L4-4014-Lectorial Learning Space (79)	James



Class Schedule

Week	Date Commencing	Topic	Recommended Reading	Further Reading
1	02/Mar/2026	Introduction and overview of financial statement analysis framework	<i>Chapter 1</i> In Palepu et al. (2021)	<i>In-class case discussion (1):</i> Woolworths & Coles
2	09/Mar/2026	Theoretical framework & Business strategy analysis	<i>Chapter 2</i> In Palepu et al. (2021)	
3	16/Mar/2026	Accounting analysis (1): Accounting analysis framework	<i>Chapters 3-4</i> In Palepu et al. (2021)	<i>In-class case discussion (2):</i> Dick Smith
4	23/Mar/2026	Accounting analysis (2): Income statement, Balance sheet, and OCI	<i>Chapters 3-4</i> In Palepu et al. (2021)	<i>In-class case discussion (3):</i> Woolworths & Qantas
5	30/Mar/2026	Financial analysis (1): DuPont equation and an alternative method	<i>Chapter 5</i> In Palepu et al. (2021)	<i>In-class case discussion (4):</i> A2 Milk
Friday 3 April to Sunday 12 April: Easter, Non-teaching period & UA Common Vacation Week				
6	13/April/2026	Financial analysis (2): Ratio analysis and cash flow analysis basics	<i>Chapter 5</i> In Palepu et al. (2021)	<i>In-class case discussion (5):</i> G8 Education & Cerner
7	20/April/2026	Mid-Semester Test		
8	27/April/2026	Prospective analysis (1): Forecasting	<i>Chapter 6</i> In Palepu et al. (2021)	<i>In-class case discussion (6):</i> Reddit
9	04/May/2026	Prospective analysis (2): Fundamental valuation (1)	<i>Chapter 7&8</i> In Palepu et al. (2021)	<i>In-class case discussion (7):</i> <u>Nanosonics</u>
10	11/May/2026	Prospective analysis (2): Fundamental valuation (2)	<i>Chapter 7&8</i> In Palepu et al. (2021)	<i>In-class case discussion (8):</i> Coca-Cola
11	18/May/2026	Credit analysis	<i>Chapters 8&12</i> In Palepu et al. (2021)	<i>In-class case discussion (9):</i> <u>Pidilite Industries</u>
12	25/May/2026	Review of course		<i>In-class case discussion (10):</i> CBA
Monday 1 Jun 2026 to Friday 5 Jun 2026			SWOT Vac	



LMS Canvas

- <https://lms.unimelb.edu.au/>
 - Course outline
 - Case questions and solutions
 - In-class exercises
 - Lecture and seminar slides
 - Example examination questions and solution guides
 - Other readings
 - Discussion boards
 - Quiz
 - Assignment
 - Exam
 - ...
- Slides might be subject to 'last-minute' adjustments



Delivery of teaching

Weekly:

- 90 minutes lecture (onsite/on-campus) (recorded)
- 90 minutes seminar (onsite/on-campus) (not recorded)



Important notes

Onsite teaching & learning

Preparing for case discussions

Assessment

- Mid-semester exam: Week 7 (20%)
- Assignment: group-based (20%)
- Final exam (60%)



Assignment

Group or individual based

- 4-5 students per group (can from different seminar streams)
- Group composition registration will be announced later
 - Feel free to use 'Discussion board' in the Canvas finding group members
- Distributed in Week 8 or 9 on LMS
- Submission deadline (tentative): 5.00 pm Friday Week 11 via LMS (stay tuned)



Inquiries

1. Post on the discussion board in the Canvas
2. Visit weekly consultation (starting from Week 2)

Consultation time on slide 4.

Zoom links will be posted on Canvas (under “Zoom” folder)

3. Send emails to your seminar leaders

The emails are on **page 4 of subject guide.**



TWO misconceptions

Misconception No. 1

Accounting data is factual;

Accounting data provides historical information;

Accounting data is not forward-looking.

Misconception No. 2

FSA is formula based; it is about data mining.



Is accounting information factual?



From business activities to financial statements

Key aspect of FSA:

- Understanding the influence of the accounting system on the quality of the financial statement data being used in the analyses.

Can You Trust
The Numbers



"THE GOOD NEWS IS, PROFITS ARE UP 74%, THE BAD NEWS IS, WE DON'T KNOW WHY."



Can You Trust The Numbers

1. Reporting environment (US GAAP vs. IFRS)
2. Relevance and limitation of accounting
3. The accrual system of accounting
4. Managerial incentives over financial reporting



Reporting environment

A key issue in world accounting is acceptance of the International Accounting Reporting Standards and Regulations.

- We need to understand the background and objectives of the International Accounting Standards Board.
- We need to recognize the difficulties associated with accepting international standards e.g. US vs. IASB.



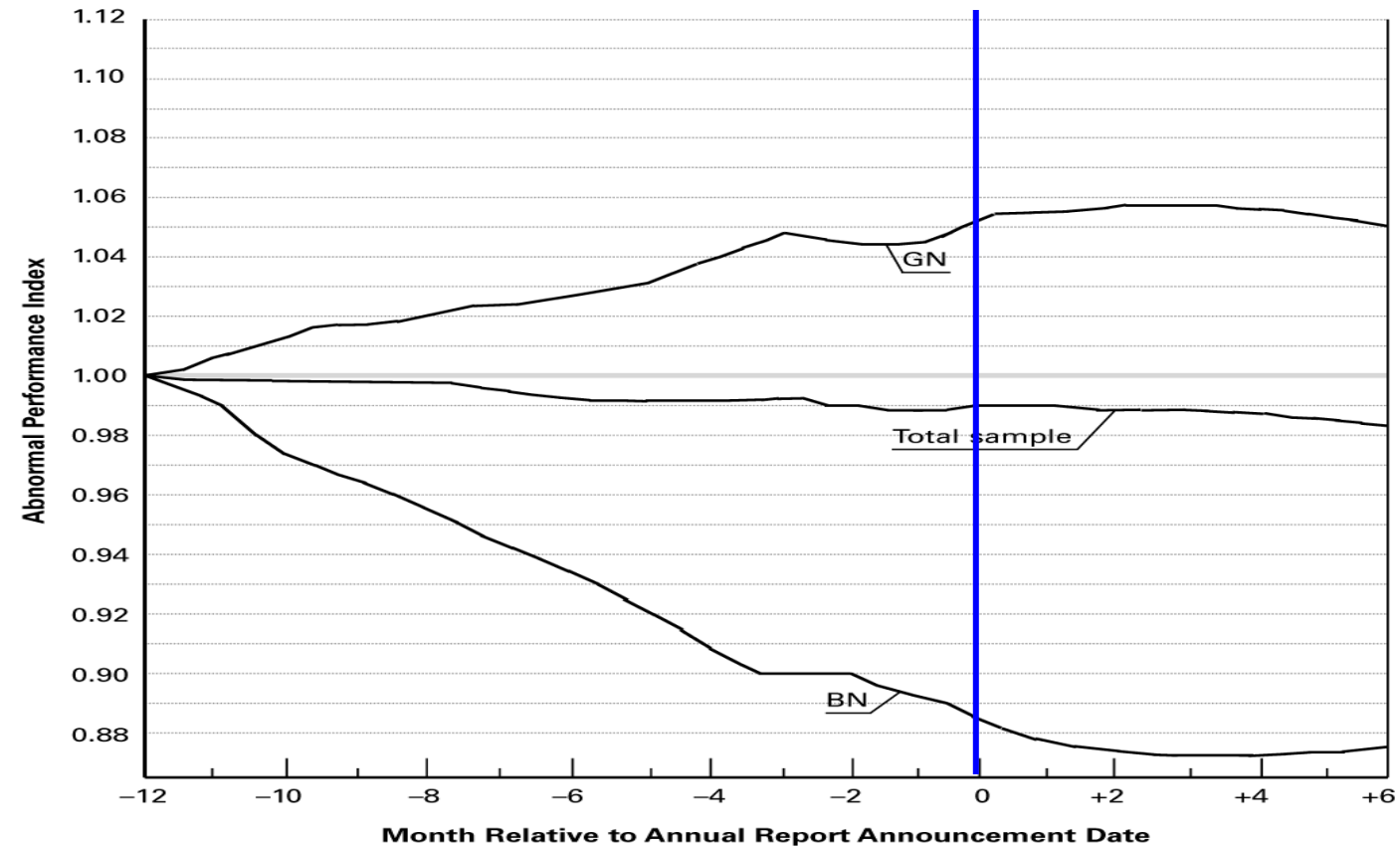
Statutory Financial Reports



Form 10-K (Annual Report)
10-Q (Quarterly Report)
20-F (Registration Statement/ Annual Report [Foreign])
8-K (Current Report)
14-A (Proxy Statement/Prospectus)
Other SEC Filings

Relevance of accounting information

Figure 5.3 Abnormal Returns for GN and BN Firms

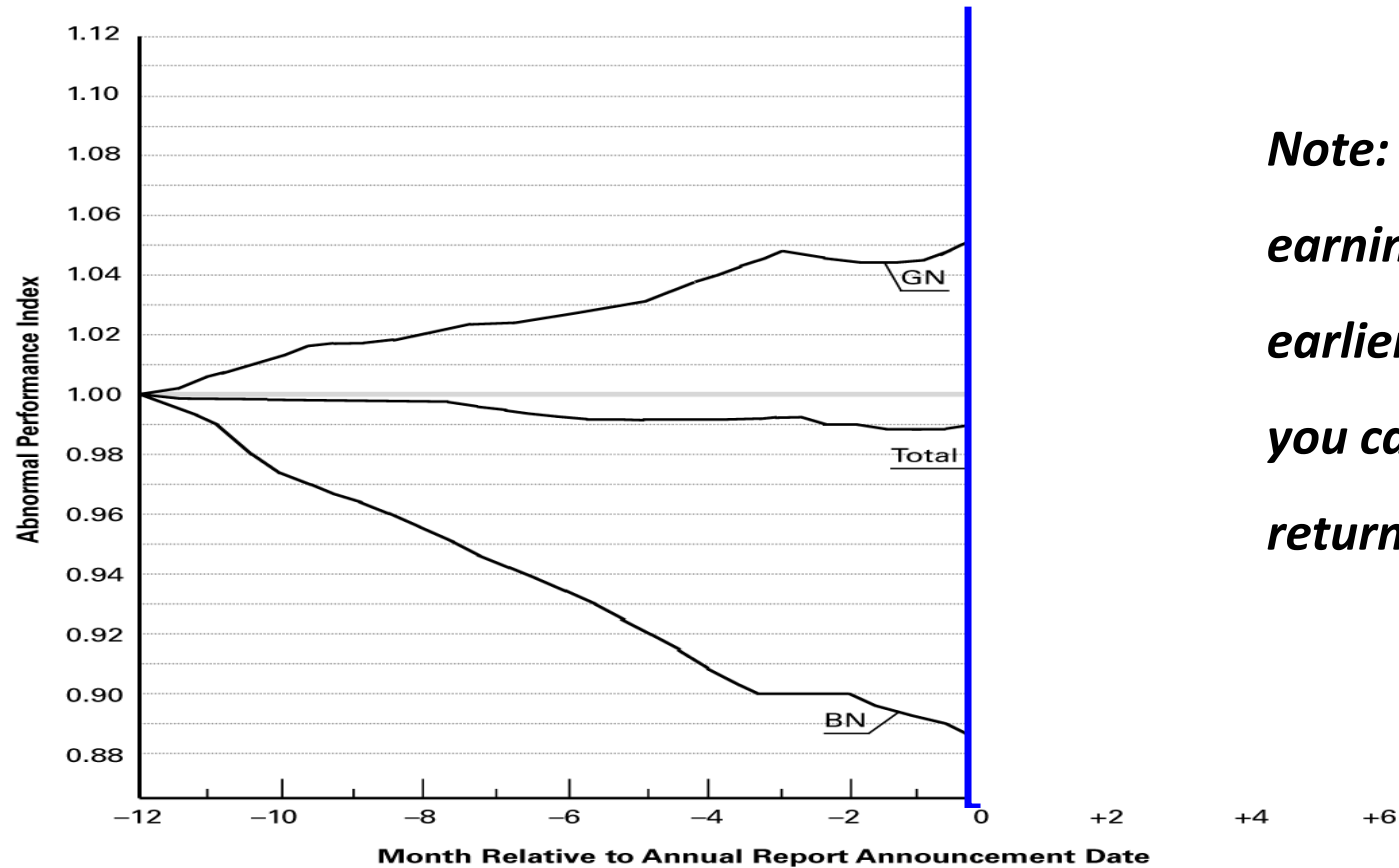


Source: Ray Ball and P. Brown, "An Empirical Evaluation of Accounting Income Numbers," *Journal of Accounting Research* (Autumn 1968), p. 169. Reprinted by permission.

*Ball & Brown
1968*

Relevance of accounting information

Figure 5.3 Abnormal Returns for GN and BN Firms



Note: if you can forecast earnings change 12 months earlier with perfect accuracy, you can earn 35.6% annual return.

Source: Ray Ball and P. Brown, "An Empirical Evaluation of Accounting Income Numbers," *Journal of Accounting Research* (Autumn 1968), p. 169. Reprinted by permission.

Core Earnings: New Data and Evidence

Citation

Rouen, Ethan, Eric C. So, and Charles C.Y. Wang. "Core Earnings: New Data and Evidence." *Journal of Financial Economics* 142, no. 3 (December 2021): 1068–1091.

Fig. 1. Average Total Adjustments, GAAP Earnings, and Core Earnings

This figure displays time-series patterns in non-core-earnings adjustments across the sample period. The blue line is the average core earnings per share, the dashed line is the GAAP earnings per share, and the red line is the average total adjustments per share.

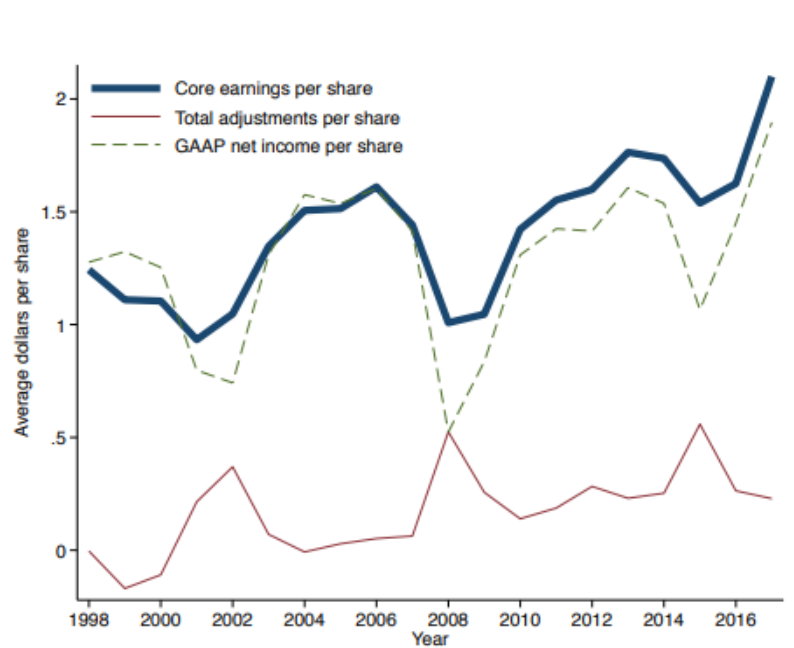
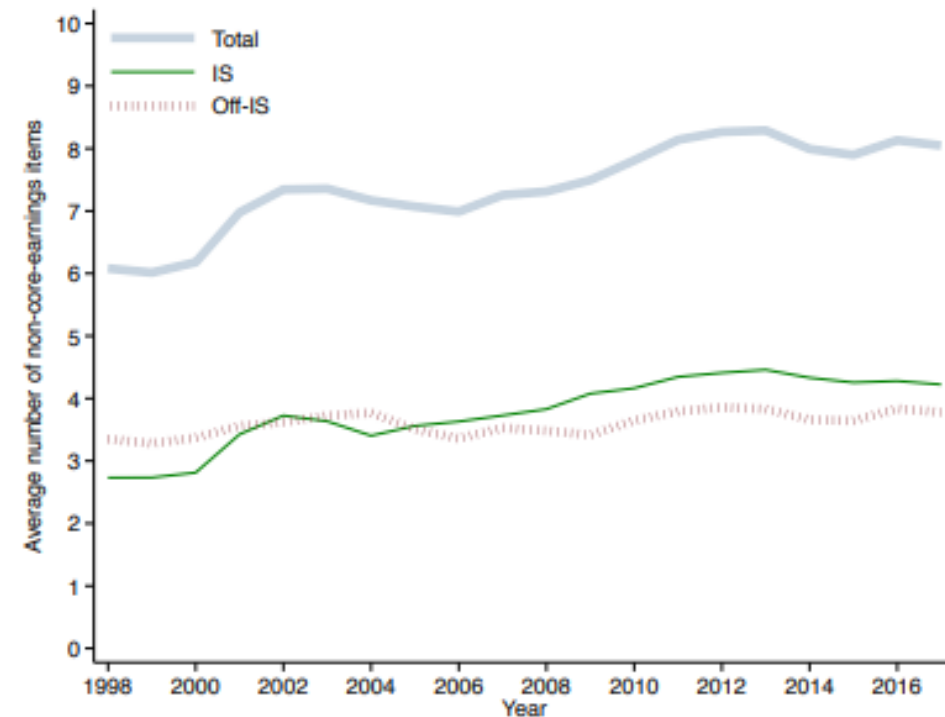


Fig. 2. shows the average number of items identified in firms' 10-Ks (Total) as well as the average number of items disclosed on (IS) and off (Off-IS) the income statement.

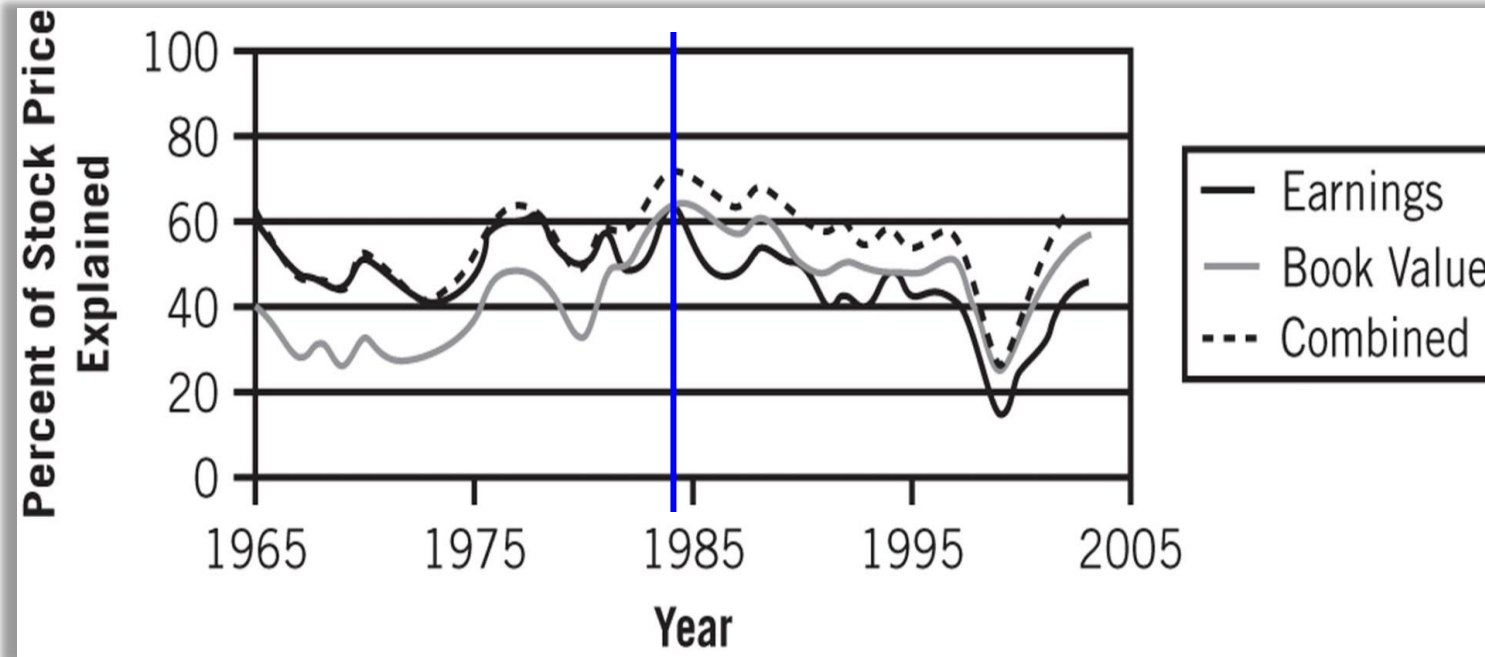
A. On vs. Off-Income-Statement



*"Trading strategies that exploit non-core earnings produce abnormal returns of **8%** per year."*

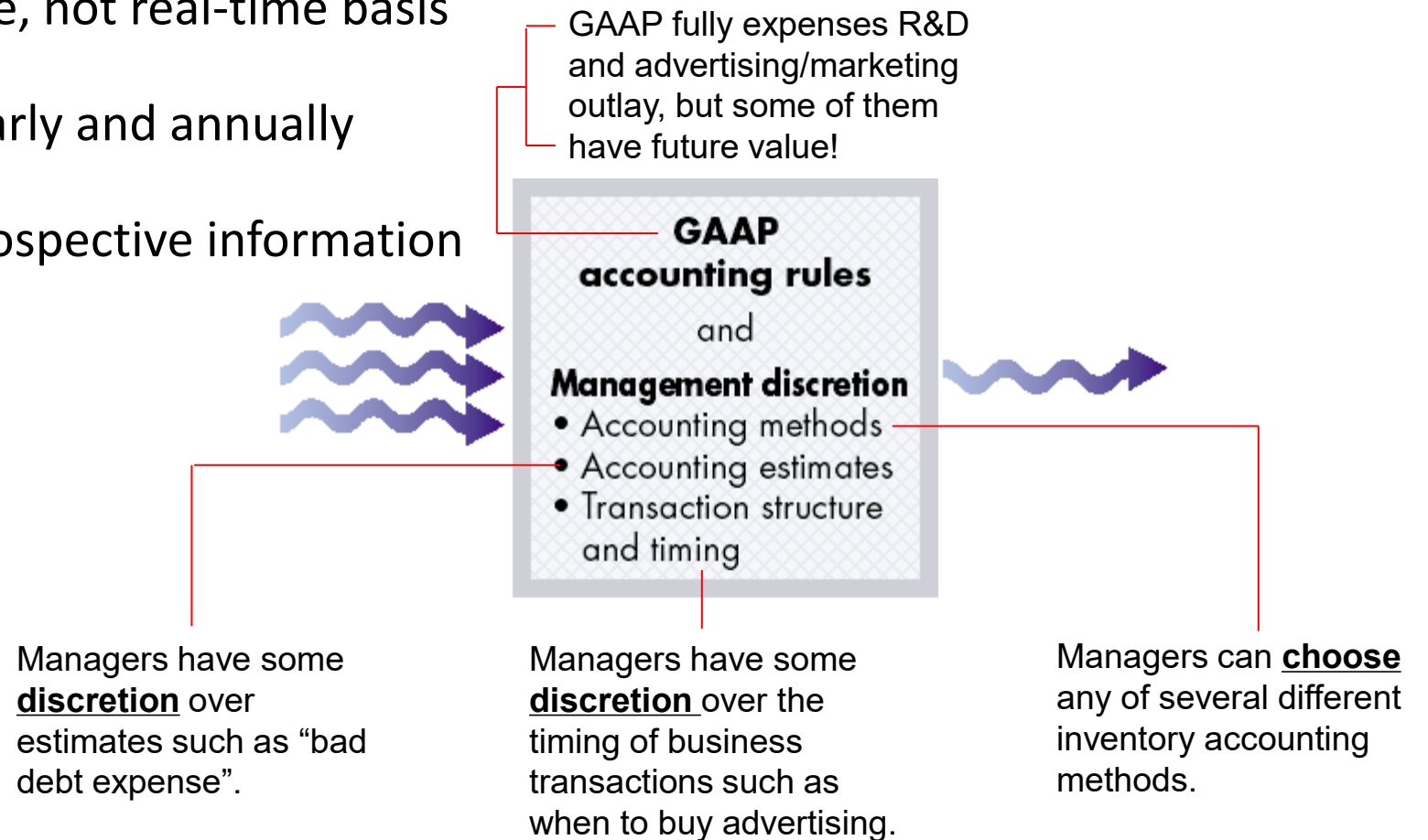
Relevance of accounting information

Relation between Accounting Numbers and Stock Prices



General limitations of accounting information

- **Timeliness** - periodic disclosure, not real-time basis
- **Frequency** – quarterly/half yearly and annually
- **Backward Looking** - *limited* prospective information



Alternative information sources

Economic, industry & company news

- Impacts current & future financial condition and performance

Managerial voluntary disclosure

- Conference calls, management forecasts, site visits, etc.
- Motivation - Legal liability, Expectations Adjustment, Signaling, Managing expectations

Information intermediaries

- Includes analysts, advisers, debt raters, buy- and sell-side analysts, and forecasters
- Industry devoted to collecting, processing, interpreting & disseminating company information



Is financial statement analysis formula-based? Just about numbers?





Financial Statement **Analysis**

<Cambridge Dictionary>:
the act of studying or examining something in detail, in order to discover or understand more about it, or your opinion and judgment after doing this

Why FSA?

Information asymmetry at the markets...



Quality of successful influencer:

- *Independence/professionalism
- *No conflicts of interest
- *Knowledge/expertise/experience
- *Technical skills vs. social skills

...



Intrinsic Value (or Fundamental Value)

**Value of Company (or share) without
reference to market value (or share price)**

Strategy

Intrinsic value > Market value	Buy
Intrinsic value < Market value	Sell
Intrinsic value = Market value	Hold

Financial statement analysis

○ Financial statement analysis is a valuable activity when there is information asymmetry

➤ For example:

➤ **Managers have complete information on a firm's strategies,**
➤ **and a variety of institutional factors make it unlikely that these managers will fully reveal this information**

→ Outside analysts attempt to create “inside information”

• In this course, we take the role of the **outside analyst**, confronted with financial statements in annual reports of listed companies.

Financial reporting in capital markets

○ In a capitalist economy, matching savings to business investment opportunities is complicated, because:

1. Entrepreneurs typically have **better information** than savers on the value of business investment opportunities.

2. Communication by entrepreneurs to investors is **not completely credible**
➤ because investors know entrepreneurs have an incentive to inflate the value of their ideas.

Intermediaries

➤ Intermediaries can help to resolve these problems

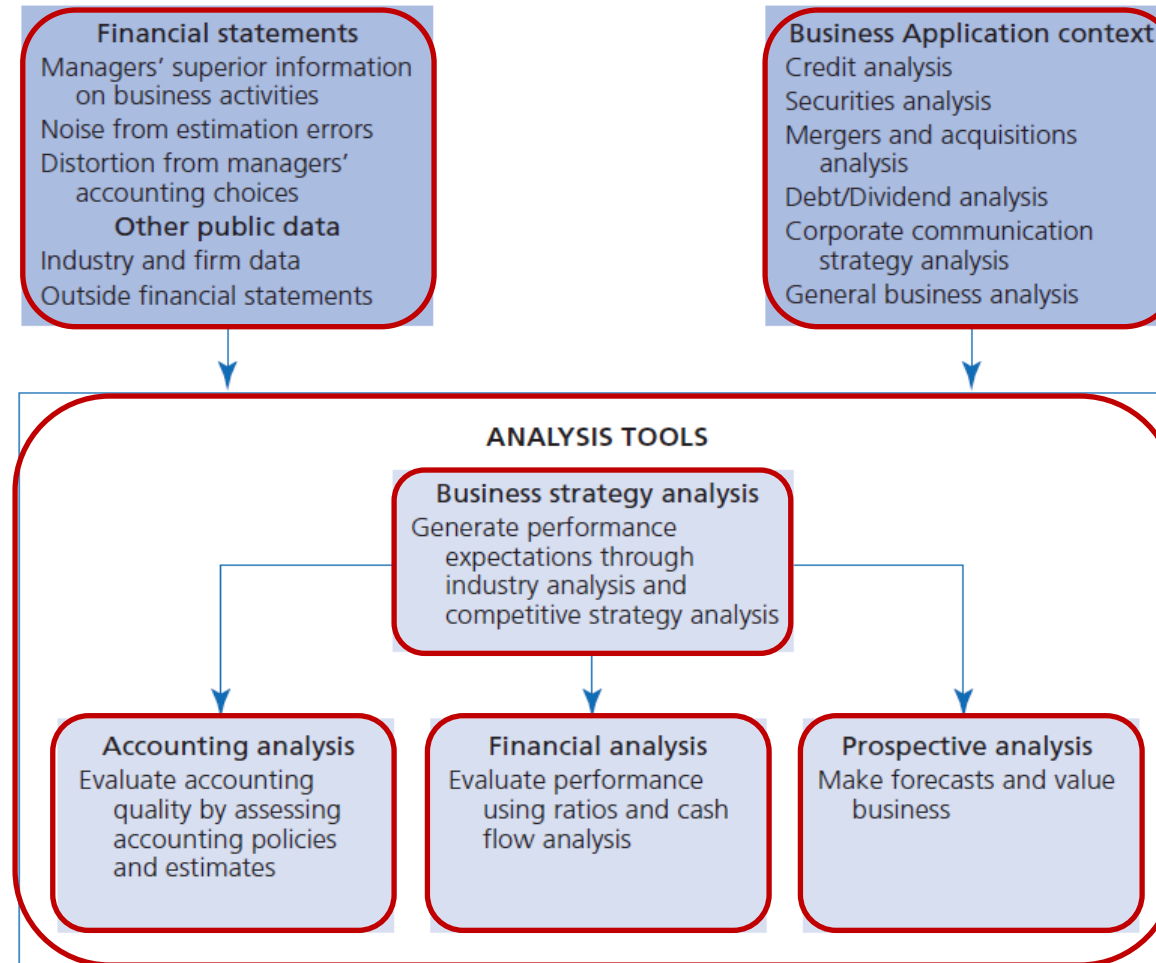
➤ Two types:

1. **Financial intermediaries:** venture capitalists, banks, collective investment funds, pension funds, insurance companies ...

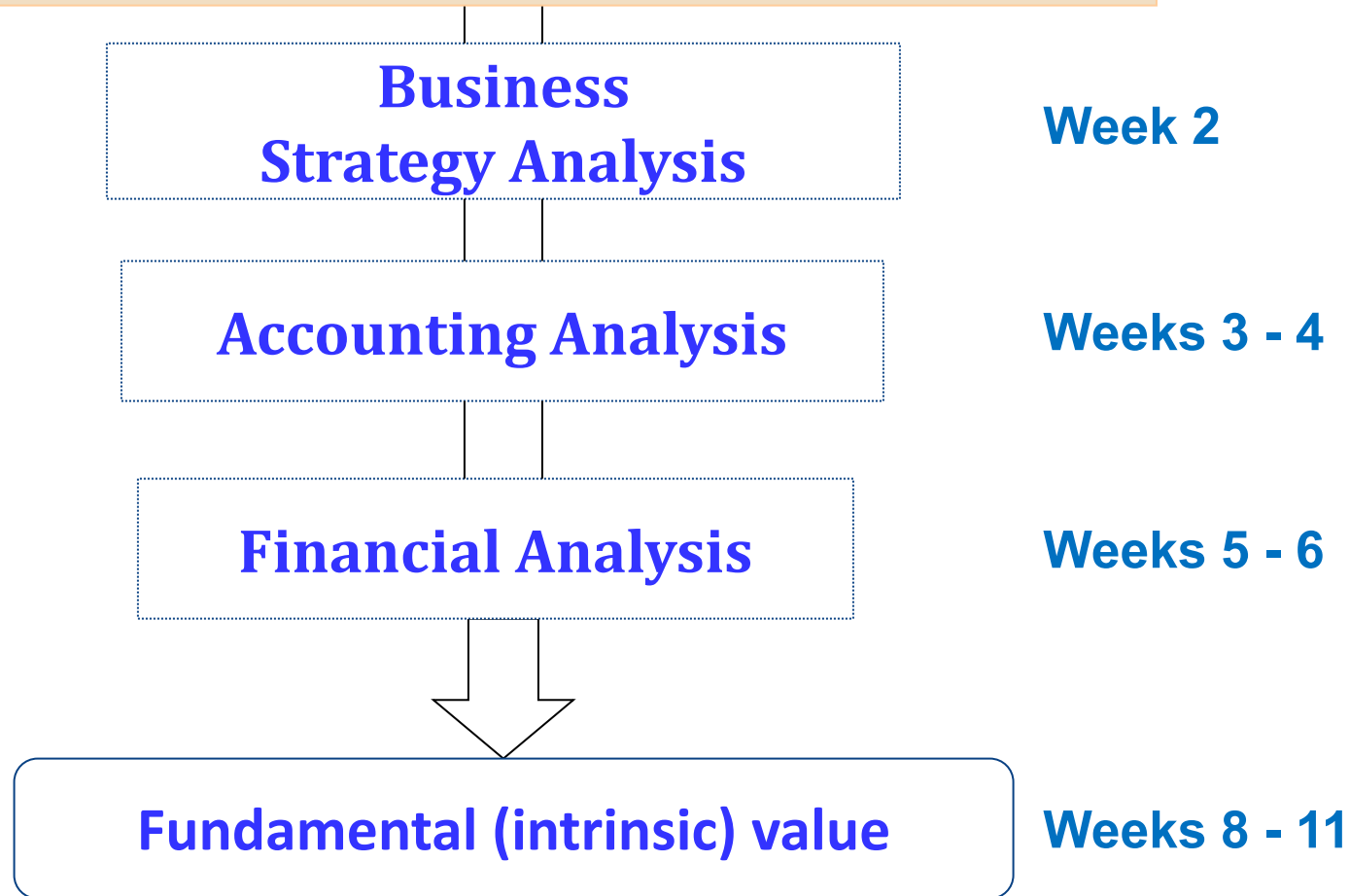
2. **Information intermediaries:** auditors, financial analysts, credit-rating agencies, the financial press, etc. ...

Framework - Financial Statement Analysis

FIGURE 1.3 Analysis using financial statements



Process to forecast future payoffs





Business Strategy Analysis

Assumed a firm's objective:

- Earn a return on capital in excess of its cost of capital
- Determined by its own strategic choices:
 - **Industry choice**
 - **Competitive positioning**
 - **Corporate strategy**

Strategy analysis involves:

- Industry analysis
- Competitive Strategy Analysis
- Corporate Strategy Analysis



Accounting Analysis

- Accounting analysis
 - often referred to as ‘quality of earnings’ analysis
- Purpose:
 - **Evaluate the degree to which a firm’s accounting captures its underlying business reality**
- identify areas of **accounting flexibility**
- evaluate appropriateness of accounting policies and estimates
- ‘undo’ any apparent distortions

Accounting system feature #1

- **Accrual accounting:**

- Corporate financial reports use **accrual** rather than cash accounting

- The effects of economic transactions are recorded based on **expected**, not necessarily actual, cash receipts and payments.

Accruals - what are they?

- Accruals are amounts allocated to an event or transaction but not paid/received in cash.

- **Examples:**

- Accounts Receivable and Payable
 - Amortization
 - Provisions for warranty, lawsuits, restructuring

NOTE: The iron rule of accruals is that “**accruals tend to reverse**” in succeeding periods.

Accounting system feature #2

➤ Accounting standards and auditing:

➤ Because accrual accounting deals with **expectations** of the future cash consequences of current activities:

➤ **it is subjective** and relies on a variety of assumptions

➤ Accounting conventions aimed at limiting bias:

1. Measurability
2. Conservatism

➤ Uniform accounting standards

➤ Auditing 'verifies' the integrity of reported financial statements

➤ Legal environment affects the accuracy of disclosures

Accounting system feature #3

➤ Managers' reporting and disclosure strategy:

➤ Communicate underlying economic reality or manage investor expectations?

- Accruals vs. cash flow
- Accrual accounting (*income*) is more relevant than cash flow.
- Cash flows are more reliable than accruals.
- Accrual accounting numbers are subject to accounting distortions.

Accounting concept of income

- Based on the concept of accrual accounting
- Main purpose is income measurement
- Two main processes –
 - Revenue recognition
 - Expense matching ---period costs (marketing, admin costs)
---product costs (production of a product or service)



Financial analysis

- Evaluate current and past performance and assess its **sustainability**
- *Ratio analysis*: evaluate a firm's product market performance and financial policies.
- *Cash flow analysis*: evaluate a firm's liquidity and financial flexibility.

Prospective analysis

Valuation - an important goal of many types of business analysis

Purpose:	Estimate fundamental (intrinsic) value of a company (or share)
Basis:	Present value theory (time value of money)

While the value of a firm is a function of its future cash flow performance, it is also possible to assess a firm's value based on the firm's current book value of equity, and its future return on equity (ROE) and growth.



Key Components of Financial Statement Analysis

Business intermediaries use financial statements to accomplish 4 key steps:

- Business Strategy Analysis (Lecture W2)
- Accounting Analysis (Lectures W3-4)
- Financial Analysis (Lectures W5-6)
- Prospective Analysis (Lectures W8-11)



Back to the role of Financial Statement Analysis

- Managers' insider knowledge is a source of both value *and* distortion in accounting data
- Effective FSA is valuable because it attempts to **get out managers' inside information** from public financial statement data.

Closing thoughts

Course objective and requirements

Introduction to the framework of business analysis and valuation

Role of intermediaries in capital markets

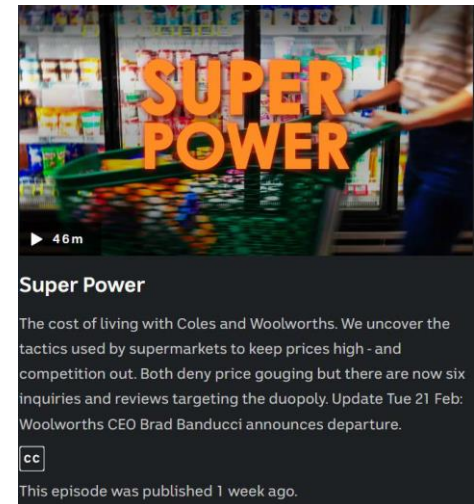
Role of financial statement analysis

Prepare for seminar 1

Watch Video before seminar 1:

<https://iview.abc.net.au/video/NC2403H001S00>

<https://www.youtube.com/watch?v=yoo6XVxpiU8>



See you at the seminar

